

Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | **Context:** SVH Capital cacao circle — June 26

1. Executive Summary

Three signals are turning from grey to red:

Signal	Status	Why Now
DAO legal wrapper	Red	Member liability shield, DAO bank account, governance clarity for TDG holders
Impact fund capital injection	Red	Impact funds, foundations, corporate ESG have no entity to write checks to
Personal bank account	Red	Gary's personal account is the bottleneck

The core structure

Wyoming UNA/DUNA (nonprofit, DAO legal wrapper)

- Own bank account (partner contributions + impact fund capital)
- TDG holders govern the DUNA (pseudonymous — wallet only)
- Contractual relationship with TrueTech Inc

TrueTech Inc (Delaware C-corp, independent entity)

- Own cap table and shareholders (Gary)
- Own bank account (commercial operations: imports, sales, revenue)
- May buy back TDG at NAV using operating cash reserves (discretionary)
- Buyback reserve formula published on truesight.me

Brazilian LTDA (CNPJ) = export facility (eventually DUNA-owned)

Key design decisions

- TrueTech Inc = independent entity — Not a subsidiary. Separate cap table. Contractual relationship, not structural. Avoids UBIT and 501(c)(3) jeopardy.
- Two separate bank accounts — TrueTech Inc (commercial) + DUNA (mission/treasury)
- TDG buyback at NAV — TrueTech Inc may buy back at NAV using operating cash. Business decision, not DUNA obligation.
- Buyback reserve formula on truesight.me — Formula governing redemption capacity published on TrueSight DAO website.

- UNA first, DUNA if eligible — No auto-upgrade from UNA to DUNA in statute. Must elect DUNA Act with 100+ members by mutual consent.
- Wise as primary banking platform — Wise handles standard bank transfers and PIX. Non-standard rails (Venmo, Zelle, Western Union) executed manually from TrueTech bank account.
- Brazil CNPJ eventually DUNA-owned — Removes single-person dependency on Matheus.

2. Current State Assessment

Financial Flows

Current (problematic):

Brazil Farmers to Matheus (private CNPJ) to Export to TrueTech Inc to Gary's personal bank account to DAO expenses

Target (with DUNA):

Brazil Farmers to DUNA-owned CNPJ to Export to TrueTech Inc (commercial) to TrueTech Inc account

Partners (Nora, etc.) to DUNA bank account to tree planting / DAO expenses

Impact funds to DUNA bank account to tree planting / carbon credits

Member exit to Member submits DApp withdrawal to TrueTech Inc may buy back at NAV to TDG deducted

Treasury Snapshot

Item	Amount
Main Ledger USD	\$3,476.27
Main Ledger USDT	\$66.93
Main Ledger Brazilian Reis	R\$2,511.97 (~\$583.53 USD)
Total available cash	~\$4,126.73
TDG issued	~2.3M tokens across ~350 contributors

Only Main Ledger cash is available. Managed ledgers are earmarked for cacao shipment financing.

3. Beneficial Ownership & State Transparency Laws

Federal CTA — Moot

As of FinCEN's March 2025 interim final rule, all U.S.-formed entities and their U.S. beneficial owners are exempt from BOI reporting. A Wyoming UNA/DUNA is U.S.-formed. Neither the entity nor Gary files BOI to FinCEN.

State Transparency Laws — The Live Risk

State	Law	Status	Impact
New York	LLC Transparency Act	Effective Jan 1, 2026	Requires disclosure for LLCs in NY. Does not directly apply to Wyoming UNAs.
California	Advancing own version	In progress	Similar to NY if passed.
Wyoming	No state transparency law	N/A	No beneficial ownership registry.

Current posture: A Wyoming UNA/DUNA is not directly subject to any state transparency law. No BOI filing required at any level.

4. Impact Fund Capital Injection Pathways

Pathway	Timeline	Tax Deductible?
A: Direct donation to DUNA	Immediate after DUNA formed	No (but fund can still donate via PRIs, TDG-for-capital)
B: Fiscal sponsorship bridge	1-3 months	Yes (via sponsor)
C: DUNA's own 501(c)(3)	6-12 months	Yes (directly from DUNA)

The pitch: Fund tree planting through our Wyoming DUNA. You get verified impact reports, future carbon credits, and voting rights in the DAO.

5. Implementation Timeline — Parallel Tracks

Track	What	Cost	Timeline
Track A: TrueTech Inc Wise	Opens Wise Business account for commercial transactions	\$0-500	This week (1-2 days)
Track B: UNA Formation	Gary + TrueTech Inc sign OtoCo to UNA formed	~\$50 gas	This week (1 day)
Track C: UNA Wise	UNA gets EIN to opens its own Wise Business account	\$0	2-4 weeks

No dependency between tracks.

DUNA Formation — Requirements Check

Wyoming's DUNA statute requires:

- 100+ members joined by mutual consent under a governing agreement
- Blockchain-based governance (smart contracts, token voting)
- Election to form under the DUNA Act (not auto-conversion from UNA)

Important: No statutory auto-upgrade from UNA to DUNA. Conversion runs downward only: if a DUNA falls below 100 members, it auto-converts into a plain Wyoming UNA.

Current status: ~350 contributors with TDG. Question: are they "members by mutual consent" under a governing agreement?

6. TDG Governance Rights

What TDG Is

TDG tokens represent voting rights in the DAO entity (UNA or DUNA form). Issued to contributors for work — cacao logistics, contribution scoring, development, onboarding — granting governance power over strategic direction, budget allocation, and program funding.

TDG is not a financial security or profit-sharing instrument. It is a governance right that happens to be transferable/tradeable.

Member Exit Options

Contributors can see in real time what liquidity capacity exists. Two options:

1. Sell on the secondary market (if liquidity exists and a buyer appears)
2. Request redemption from TrueTech at NAV, subject to available reserves

Current Withdrawal Flow (Live Today)

DApp: https://dapp.truesight.me/withdraw_voting_rights.html

1. Member connects wallet and signs in
2. DApp shows voting rights, value per right, available USD reserves
3. Member enters number of voting rights to cash out
4. Member selects Withdrawal Method:
 - PIX (Brazil) — handled via Wise
 - PayLah (Singapore)
 - Venmo (USA) — executed manually from TrueTech bank account
 - Zelle (USA) — executed manually from TrueTech bank account
 - PayPal (International)
 - WiseTransfer (International) — handled via Wise

- Western Union (International) — executed manually from TrueTech bank account

5. Member enters account details and submits

6. TrueTech Inc may buy back at NAV using operating cash reserves

7. TDG balance deducted from ledger — effectively burned

Payout coverage note: Wise handles standard bank transfers and PIX. Non-standard rails (Venmo, Zelle, Western Union) are executed manually by Gary from TrueTech's bank account as needed.

Buyback Reserve Formula

TrueTech's buyback reserve formula is published on truesight.me and calculated as:

Reserve = X% of monthly sales volume

This determines what portion of TrueTech's revenue gets set aside for token redemptions versus reinvestment, operations, and growth. Reserve capacity scales with sales volume per this published policy.

Key characteristics:

- Buybacks not guaranteed or promised — based on current reserves per formula
- Transparent and tied to business performance
- Discretionary on TrueTech's side — commits to formula, not individual demands
- TrueTech may also buy TDG on secondary markets at discount

What Exists Today

Component	Status
DApp withdrawal page	Live at dapp.truesight.me/withdraw_voting_rights.html
Withdrawal Method dropdown	Live (PIX, PayLah, Venmo, Zelle, PayPal, WiseTransfer, Western Union)
Ledger deduction	Live
TrueTech Inc payout	Live
Buyback budget automation	Live (\$0.093/day)
Buyback price automation	Live (\$0.0067/TDG)
Reserve formula publication	Live on truesight.me

What Changes with the DUNA

Aspect	Today	With DUNA
Who issues cash	TrueTech Inc (from Gary's personal account)	TrueTech Inc (from its own Wise account via API)

Aspect	Today	With DUNA
Who authorizes	Automated — GAS script calculates budget daily	Same — DUNA governance can adjust formula
Buyback price	Automated — \$0.0067/TDG	Same — formula-driven
Buyback budget	Automated — \$0.093/day	Same — scales with revenue
TDG deduction	Ledger entry	Same
Transparency	On-chain via Edgar API + Wise API reconciliation	Same

7. Resource Gap Analysis

What We Have

- Mission clarity, on-chain governance, physical supply chain
- Tree-planting pipeline, partner network, carbon credit potential
- AWS/Edgar/tokenomics infrastructure, SVH Capital connection
- Wise banking relationship, member exit mechanism (DApp + ledger)
- Fully automated buyback budget and price calculation
- Reserve formula published on truesight.me

What We Need

Need	Est. Cost
Legal counsel (DUNA formation + eligibility verification)	\$5K-15K
501(c)(3) tax attorney	\$2K-10K
Brazilian legal representative	\$1K-3K
Multi-entity accounting	\$2K-5K/yr

8. Questions for SVH Capital (June 26)

The original SVH approach was to seek advisory input on governance structure — that work is now complete via this discussion. The only remaining legal gate is a narrow Howey analysis: does issuing governance tokens (TDG) to contributors for work count as a security offering under SEC law?

This is a counsel question, not a strategic workshop. The structure is resolved.

1. DUNA formation: Can you refer us to a Wyoming law firm? Need to verify whether ~350 TDG holders qualify as "members by mutual consent."

2. OtoCo verification: Do they handle DUNA formation or only UNA?
3. UNA vs. DUNA: If we don't meet 100-member threshold, is UNA sufficient as stopgap?
4. Howey analysis (the one thing): TDG issued for work, grants governance rights, not a security or profit-sharing instrument. Does this pass the Howey Test?
5. 501(c)(3) pathway: Timeline and cost for IRS exemption for a tree-planting DAO?
6. Brazilian entity: Can a Wyoming DUNA own a Brazilian LTDA?
7. TrueTech Inc independence: Separate C-corp with contractual relationship to DUNA. Does this avoid UBIT and 501(c)(3) jeopardy?
8. TDG buyback: TrueTech buys back at NAV using operating cash, formula on truesight.me. Discretionary, not guaranteed. OK under DUNA?

9. Service Provider Reference

Service	Link
OtoCo (UNA formation)	https://otoco.io
Wise (banking + API)	https://wise.com
IRS EIN	https://www.irs.gov/ein
The Giving Block (fiscal sponsorship)	https://thegivingblock.com
Endaoment (on-chain fiscal sponsorship)	https://endaoment.org

Appendix: OtoCo UNA Formation Steps

1. Go to <https://otoco.io>
2. Connect wallet (MetaMask or compatible)
3. Select Summon a UNA
4. 2+ wallet addresses sign the smart contract
5. Pay gas (~\$50)
6. UNA is formed
7. Apply for EIN at <https://www.irs.gov/ein> (free)
8. Open Wise Business account using UNA's EIN
9. For DUNA: verify eligibility (100+ members by mutual consent) and engage legal counsel

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